



J. PAUL GETTY

1892–1976

When the Great Depression hit in the 1930s, J. Paul Getty realized that he could make more money buying oil companies than by drilling for oil. So, while oil stocks plummeted, Getty turned from being a wildcatter to a lone wolf, hunting for victims. He looked for companies trading below book value, but with valuable assets. His first investments in other oil companies, however, lost another \$1 million. The stakes were high. "My stock purchases were financed by every dollar I possessed," he said, "and every cent of credit I could obtain. Had I lost the campaign . . . I would have been left personally penniless and very much in debt." Getty's biggest target was Tide Water, an oil company controlled by Rockefeller's Standard Oil—only Getty didn't know that when he first started buying its shares. After several years of sparring, Getty gained control through a backdoor maneuver by buying into a company that controlled a large block of Tide Water stock.

A financial genius, the richest man in the world once paid only \$500 in income tax. Looking for loopholes at every opportunity was a trait Getty learned from his father, a Minneapolis lawyer who in 1904 brought his family to Oklahoma, a state not yet admitted to the Union. The elder Getty witnessed the oil rigs going up and knew there was money to be made as a wildcatter. An 11-year-old Getty followed his father through the fields and started keeping a diary, noting all aspects of the oil business. This experience proved to be his best education—college years at Berkeley and Oxford were wasted, he said.

The family later moved to California. Getty left abruptly in 1933 for fear of earthquakes, causing his wife to comment that he was "not really and truly a bold man except for investments." Of course, she wasn't around long either; Getty was married five times. Although he was a womanizer, he never forgot his top priority: "When I'm thinking about oil, I'm not thinking about girls." The same could be said for his other investments. In *The Wall Street Investor*, Getty reflects on the 1962 crash, draws on his experience from the Great Depression, and explains the importance of banking on trends, not tremors.